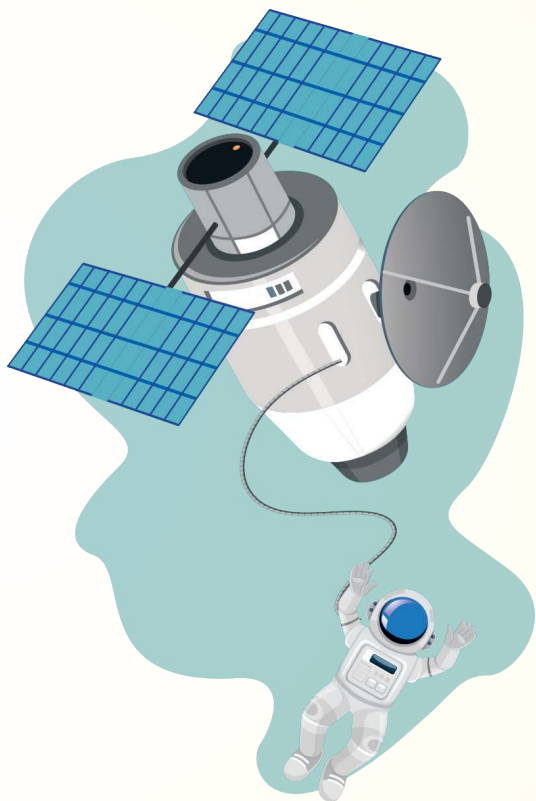
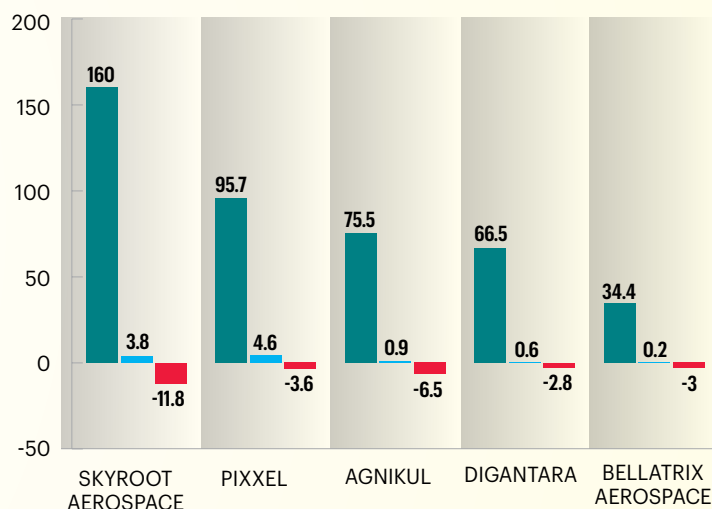




MILES TO GO

● The sector is still at a fledgling stage with the prominent companies seeing low revenues and losses



● Funding (in mn) ● Revenue (\$ mn) ● Loss (\$ mn)

NOTE DATA FOR FY25 SOURCE TRACXN

government investment began only in 2020, and the absence of late-stage capital continues to cap scale.

The journey from prototype to scale in spacetechnology—especially for launch companies—is inherently capital-intensive and long-drawn.

As Chandana of Skyroot explains, the process involves sustained investments in R&D, propulsion testing and subsystem validation, with each cycle becoming progressively more complex and expensive.

For a launch start-up, achieving its first successful orbital flight is not a near-term milestone. It typically takes close to a decade of development, multiple

test cycles and significant capital outlay. “Investors who understand this timeline from the outset are critical,” Chandana says.

This raises the question: are Indian investors aligned to such long gestation cycles especially in a system often driven by expectations of high returns and clear exit pathways?

Chandana says the level of awareness is growing. “The early backers of Indian spacetechnology—who invested when there was no national space policy and no defined exit path—were genuine believers in the sector. They understood the timelines involved and set an important precedent,” he says.

Even today, a large share of capital in Indian spacetechnology comes from global investors like Lightspeed and Accel, with only a handful of domestic venture firms actively participating.

Rahul Chandra, Managing Director of Arkam Ventures, which has backed Skyroot Aerospace, says investor awareness and comfort have improved from three years ago. Crucially, India’s spacetechnology capabilities are increasingly being seen as globally relevant. This potential to build for international markets—not just domestic demand—is what continues to attract global capital.

Domestic venture capital continues to be skewed toward companies in the software, software-